Econ0007: Quiz 1(non-assessed)

You have 30 minutes to complete this quiz during your tutorial. The quiz is divided into two parts: Part A: Multiple-Choice Questions and Part B: Short-Answer Questions. You must submit all your answers on **one single A4 sheet of paper**.

Please write your **full name**, **student number**, **email address** and **tutorial day and time** at the top of your sheet.

This quiz is formative, and the marks ***do not*** count towards your overall grade. This is a closed-book exercise, designed to simulate exam conditions. So you should not use your mobile phones, computers, or textbook**.**

Part A: Multiple-Choice Questions

There are 10 questions in this section. You will receive **2 marks** for each correct answer. **1 mark** will be deducted for each incorrect answer. If you do not attempt a question, you will receive **0 marks** for that question.

1.Which of these statements is correct?

A. Ricardian comparative advantage theory is able to explain South-South trade.
B. Ricardian comparative advantage theory is able to explain Vertical intra-industry trade
C. None of the above

2. Which of these statements is correct?

A. South Korea exporting mobile phones to Vietnam and importing cloths in return, is an example of North-South trade.
B. South Korea outsourcing the assembly of Samsung mobiles to Vietnam is an example of trade in similar tasks.
C. None of the above

3. Which of these statements is correct?

A. The age of hyper-globalisation has been marked by convergence of income within countries.
B. The age of hyper-globalisation has been marked by convergence of income across countries.
C. None of the above

4. Which of these statements is correct?

A. The Ricardian theory of comparative advantage assumes free movement of labor across countries.

B. The Ricardian theory of comparative advantage theory predicts growing income inequality within countries.
C. None of the above

Note: Ricardo's theory assumes free movement of labor within countries. This theory offers not much insight about income inequality within countries, because it assumes all the resources can effortlessly move from losing sectors to winning sectors.

5. Which one of these statements is correct?

A. When a country has a comparative advantage in production of x, it means it can produce x at a lower cost compared to other countries
B. When a country has a comparative advantage in production of x, it means it can produce x at a lower price compared to other products
C. None of the above

When a country has a comparative advantage in production of x, it means it can produce x at a lower opportunity cost compared to other countries.

6. Which of these statements is correct?

A. The age of hyper globalisation has been marked by open capital accounts
B. The age of hyper globalisation has been marked by growing restrictions on movement of multinational firms.
C. None of the above

7. Which of these statements is correct?

A. According to the theory of absolute advantage, free trade leads to lower prices for consumers.
B. According to the theory of absolute advantage, free trade enhances competition among countries and encourage producers to become more efficient.
C. None of the above

A is wrong because free trade raises export prices, while lowering import prices. B is wrong because the theory takes production abilities (PPF) in the two countries as *given* (constant) and shows that countries can benefit from specialisation (in other words, free trade does *not shift* the supply curves to the right in any country). So, the theory says nothing about free trade enhancing efficiency of production.

8. Which of these statements is correct?

A. It is impossible for a country not to have an absolute advantage in any product (assuming there are no identical countries in the world)
B. It is impossible for a country not to have a comparative advantage in any product (assuming there are no identical countries in the world)
C. None of the above

As long as two countries are different from each other, the relative prices will be different among them. In such a world, countries can specialise in the sector in which they have the

largest productivity advantage relative their trading partners (or the smallest productivity disadvantage).

9. Based on the shown graph, which of these statements is correct?

A. Vietnam and Japan consume the same amount of Rice and Motorcycle
B. Vietnam and Japan have a balanced trade account
C. None of the above

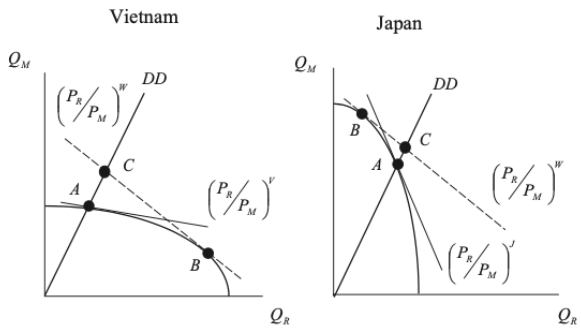

Figure 3.4. Autarky and Comparative Advantage in Vietnam and Japan

A. is wrong because both countries end up consuming the same proportion of rice and motorcycle (not the same amount).

B is correct because as shown in the graph all the trade in this model is happening via barter (i.e. countries exchange all their exports into imports). This means that the two countries have a balanced trade account (i.e the *value* of exports is equal to the *value* of imports.

10. Which of these statements is correct?

A. According to the Ricardian theory of comparative advantage, differences in relative prices across countries is caused by differences in labour productivity.
B. According to the theory of absolute advantage, differences in absolute prices across countries is caused by differences in taste.
C. None of the above.

Have a look at the assumptions of the model.

Part B: Short questions.

You must answer **one** of the following questions. Do not exceed one side of an A4 sheet of paper.

1. Is the below table consistent with Ricardian theory of comparative advantage? Explain.

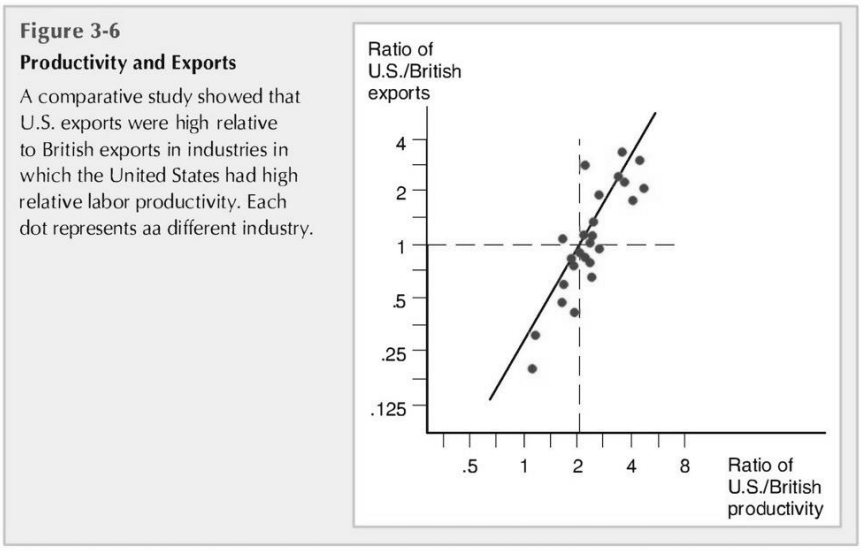

Figure 3-6
Productivity and Exports
A comparative study showed that U.S. exports were high relative to British exports in industries in which the United States had high relative labor productivity. Each dot represents aa different industry.

This graph is consistent with the theory of **comparative advantage**. As shown in the figure, the United States tends to specialise in the export of goods in which it has a higher **relative productivity** than the United Kingdom. In other words, the larger the productivity advantage, the greater the degree of export specialisation.

Interestingly, the graph shows that the United States enjoys a productivity advantage in all the industries shown (the ratio of U.S. to British productivity is greater than one throughout). However, the U.S. specialises more strongly in sectors where this productivity advantage is larger. This pattern is fully consistent with the Ricardian theory of comparative advantage, which predicts that countries specialise according to *relative*, rather than absolute, productivity differences.

2. As shown in the figure below, since 1980 the value of world exports has increased much faster than world GDP. How does the rise of global value chains help explain why international trade has grown more rapidly than global output?

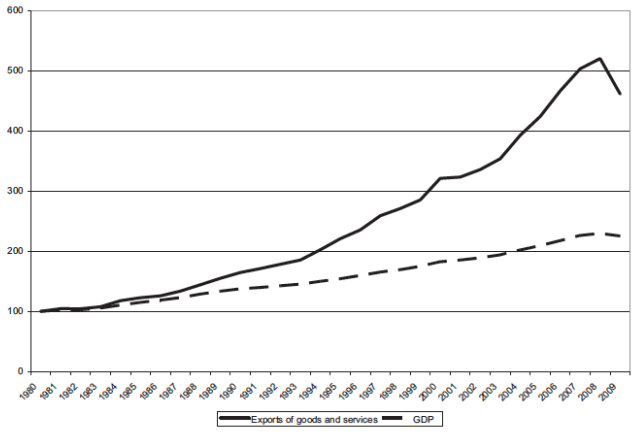

Figure 1.1. Gross Domestic Product and Exports in the World Economy, 1980 to 2009 (1980 = 100).
Source: World Bank, World Development Indicators and author calculations

The faster growth of world exports relative to world GDP since 1980 reflects the expansion of **outsourcing** and the rapid rise of **global value chains**. As production has become increasingly fragmented across countries, producing a single good now involves much more international trade than in the past. In other words, for every £1 (or $1) of GDP (value added), the world economy now generates more imports and exports than before.

Consider the example of the United States outsourcing the assembly of the iPhone to China. In the first step, the US exports iPhone components to China worth $300. China then assembles these components and exports the finished iPhone back to the US, worth $500. This process increases world GDP by only $200—the value added in China during assembly—but it increases world exports by $800 ($300 + $500).

In a world where production is increasingly outsourced and organised through global value chains, such transactions become more common. As a result, world exports grow much faster than world GDP.